

Still, Valueland is probably a better place to live in over the long term. And just as some growth stocks stumble and turn into fallen-angel value stocks, some value stocks blossom into growth stocks. The greatest investment satisfaction of all is to see an ugly duckling recognized as a swan.

My favorite ugly duckling stock is Newell Industries. It's in the most mundane businesses you could imagine. It makes frying pans, knitting needles, curtain rods and drapery hooks, paint rollers, a whole catalog of routine hardware and home decorating items. We're not dealing with integrated circuits here. I've owned Newell since 1984, paying as little as \$1.68 (adjusted for splits) a share for it. Since nobody could get excited by paint rollers and drapery hooks, the stock was cheap, a value bet for sure.

The greatest investment profit comes when an ugly duckling becomes a swan.

But Newell is a superbly run company, tremendously cost conscious and an aggressive marketer. It delivers low-cost, quality goods on time. The Taiwanese can't beat it on price or delivery. What's more, it has shown an uncanny ability to buy other companies, apply its magic, and make them equally profitable. When Wall Street finally realized that Newell was literally wired (through computer network linkage) into Wal-Mart and Home Depot, the transformation to swan was certified and the stock took off. The stock's been as high as \$32. Ideally one should buy the stock of a small company below its economic value and sell it at its full economic value when it has grown into a proven success, but Newell still has some great years ahead.